CHAPTER 29

The Dividend Factor in Common-Stock Analysis

A NATURAL classification of the elements entering into the valuation of a common stock would be under the three headings:

1. The dividend rate and record.
2. Income-account factors (earning power).
3. Balance-sheet factors (asset value).

The dividend rate is a simple fact and requires no analysis, but its exact significance is exceedingly difficult to appraise. From one point of view the dividend rate is all-important, but from another and equally valid standpoint it must be considered an accidental and minor factor. A basic confusion has grown up in the minds of managements and stockholders alike as to what constitutes a proper dividend policy. The result has been to create a definite conflict between two aspects of common-stock ownership: one being the possession of a marketable security, and the other being the assumption of a partnership interest in a business. Let us consider the matter in detail from this twofold approach.

Dividend Return as a Factor in Common-Stock Investment. Until recent years the dividend return was the overshadowing factor in common-stock investment. This point of view was based on simple logic. The prime purpose of a business corporation is to pay dividends to its owners. A successful company is one that can pay dividends regularly and presumably increase the rate as time goes on. Since the idea of investment is closely bound up with that of dependable income, it follows that investment in common stocks would ordinarily be confined to those with a well-established dividend. It would follow also that the *price* paid for an investment common stock would be determined chiefly by the amount of the dividend.